D06 · Carrier Management & TMS

01 · Carrier selection, qualification & performance management

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1 WHAT IT IS

Carrier management is the cycle of selecting, qualifying, contracting and measuring the transport companies that move your freight — and allocating volume to the ones that perform.

2 WHY IT MATTERS

Carriers execute the promise logistics makes to the customer, so **carrier performance is customer service**. A fragmented carrier base gives the shipper no leverage; a scorecard that is not linked to volume gives carriers no reason to improve. In Mexico, qualification must also cover permits, insurance and security protocols, because cargo theft on highways is a recognized operating risk.

3 HOW IT IS DONE

1. **Qualify before you contract.** Permits, insurance, safety record, security protocols, equipment and financial stability are entry criteria, not negotiation points.
2. **Consolidate the base.** Concentrate volume in fewer, stronger carriers per region and mode to gain leverage and attention.
3. **Run a monthly scorecard.** OTIF, damage, documentation accuracy and responsiveness, measured the same way for every carrier.
4. **Tie the scorecard to volume.** Allocation follows performance; persistent underperformers exit the base.

IN PRACTICE

Consolidate the carrier base — more volume per carrier creates leverage

A shipper with 30 carriers has little influence over any of them. Concentrating 90% of volume in 5–8 selected carriers changes the power balance.

Link the scorecard directly to volume allocation

When carriers know that low OTIF results in less volume, the incentive structure becomes self-reinforcing.

SICT certification and valid insurance are non-negotiable

These are prerequisites, not nice-to-haves. Verification must be part of the formal qualification process.

ILLUSTRATIVE CASE

Illustrative case built from typical industry values — not data from a specific company.

> **Illustrative case — Distribution company with 28 active carriers** — Eight carriers generated 78% of shipments with highly variable OTIF.

Segment	Carriers	Strategy
Primary (OTIF >96%)	5	Long-term agreements + quarterly QBR
Mid-performance (90–95%)	8	Formal improvement plan + monthly review
Low performance (<90%)	6	Volume reduction + replacement within 90 days
Low frequency	9	Consolidate into 3 qualified carriers

Result: Carrier base reduced from 28 to 14 in six months. Average OTIF rose from 88.4% to 94.2%. Greater volume concentration created leverage for better rates and tighter SLAs.

HOW IT IS MEASURED

Carrier OTIF %

(Complete and on-time deliveries / Total deliveries) × 100

Benchmark: >96% primary carriers · >92% secondary carriers

Cargo Damage Rate %

(Shipments with damage claim / Total shipments) × 100

Benchmark: <0.5% for qualified carriers · >1.5% requires immediate action

WHAT YOU WOULD USE

Carrier Management

SAP TM — Carrier Management — Qualification, scorecard and contract management inside SAP TM.

Power BI — Carrier Scorecard — OTIF by carrier and route, damage rate, and performance versus target.

4 SO WHAT

The carrier is your service in the customer's eyes. Qualify hard, consolidate the base, score monthly and move volume toward the carriers that keep your promises.

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